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**MUKHERJEE WITH INDUSTRY CAPTAINS
AT A PRE-BUDGET MEETING IN DELHI**

Singhania, president, FICCI. "Announcements are made, but real corporate investment activity is still not to the extent desired," he adds. In short, industry wants corporate tax rates cut, reintroduction of investment allowance, and roll-back of Minimum Alternate Tax (MAT) from 15 to 10 per cent. Singhania suggests the maximum rate of 30 per cent for income tax be made applicable over an income of Rs 25 lakh, with 10 per cent up to Rs 10 lakh and 20 per cent for Rs 10-25 lakh bracket to boost consumption and capacity expansion.

That may not be enough for the massive infrastructure-building task, which alone needs \$500 billion investment, says Vinayak Chatterjee, chairman, Feedback Ventures. "There is a need for making quality roads, ports, railways and power plants, the paucity of which stops India from attracting foreign investment," he says. More importantly, there is a need to invest in improving rural connectivity as it is the rural economy and the burgeoning demand which has bailed the Government out of the economic crisis. Chatterjee and even Surface Transport Minister Kamal Nath want the Government to step up public investment in infrastructure from the present 4.6 per cent of GDP to 9 per cent by 2012. According to Chatterjee, interest rate on infrastructure projects should not exceed 7-8 per cent. The Budget must kickstart a corporate bond market, says Gagan Banga of Indiabulls. "It is not possible for banks to keep pace with credit demand. A vibrant corporate bond and debt market will help lower debt fund costs for infrastructure developers," he says.

Sure, it is a tall order for the finance minister as he scripts Budget 2010-11, but not so for an economy whose sound prospects the world has just raised a toast to in Davos. Industry is keen to see a strong signal of the Government's intent to get going with reforms that will boost these prospects to put India in the league of big economies. ■



“A LONG-TERM FARM POLICY IS NEEDED TO PUSH DIVERSIFICATION OF CROPPING PATTERN AND RAMP UP YIELDS.”

SWATI PIRAMAL, President, Assocham

“A MECHANISM SHOULD BE DEvised TO FREE THE Rs 2,00,000 CRORE LOCKED IN DISPUTES TO TACKLE THE FISCAL DEFICIT.”

venu srinivasan, President, CII



“INTEREST SUBVENTION ON EXPORTS SHOULD BE RAISED FROM 2 TO 3 PER CENT AND DUTY DRAWBACK BY 5 PER CENT.”

ASHOK KAJARIA, President, PHDCCI

Industry figures peg the consolidated fiscal deficit for 2009-10—of the Centre and the states—close to a whopping 12-13 per cent. To repair the damage, Mukherjee has to roll back the stimulus and save money for development schemes. As Kajaria points out, any more borrowings will crowd out the private sector. Credit disbursements to the Government grew at 12.1 per cent in April-October 2009-10, but bank credit to the commercial sector grew only at a rate of 4.1 per cent in the same period. So, there is no doubt, says economist Shankar Acharya, that “exit from high fiscal deficit will have to be prioritised to resume high growth”.

Industry, while in favour of curbing the deficit, prefers the Government to tackle it by broaden-

ing the tax base and raising revenue. The CII president suggests creating a mechanism by which money locked up in disputes can be freed. While up to Rs 40,000 crore can be garnered through disinvestment, more can be raised by bringing more services under the tax net, he says. This effectively takes care of India Inc's concern over being crowded out by government spending but there has to be access to more funds for creating fresh capacity and upgrading infrastructure. At the Auto Expo this year, companies announced commitments of around \$1.2 billion for the Indian market. “We need an investment-oriented budget which will facilitate companies to retain more investible funds for modernisation and expansion,” says Harshpati